

Query: "What is the definition of 'Superior Proposal' in the Acquisition Agreement between Magic AcquireCo, Inc. and The Michaels Companies, Inc.?"

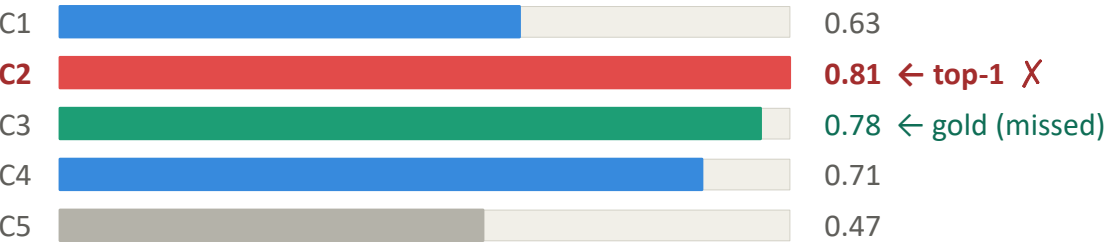
Retrieval candidates (§6.03 region of M&A agreement)

C1	C2	C3 ★	C4	C5
No-shop obligation <i>solicit, initiate, knowingly encourage, material breach</i>	Def. "Acquisition Proposal" <i>Acquisition, bona fide, majority, Company, outstanding Shares</i>	Def. "Superior Proposal" <i>more favorable, financial advisor, board determines in good faith, majority of outstanding Shares</i>	Board rec. withdrawal <i>Intervening Event, fiduciary duty, Company Board</i>	Termination fee clause <i>fee, payment, Merger, Parent, AcquireCo</i>

Dense Retrieval

Retrieves C2 ✗

Cosine similarity (query embedding vs. chunk embedding)

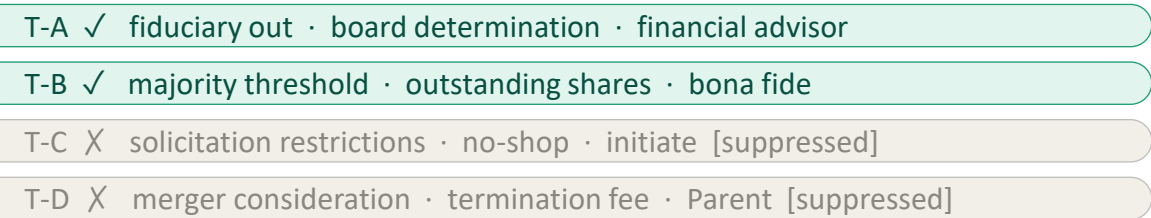


C2 and C3 share surface vocabulary ("bona fide," "majority," "Acquisition," "Company"). Chunk embeddings conflate both definitions — cosine similarity cannot distinguish the "Acquisition Proposal" definition (C2) from the "Superior Proposal" definition (C3).

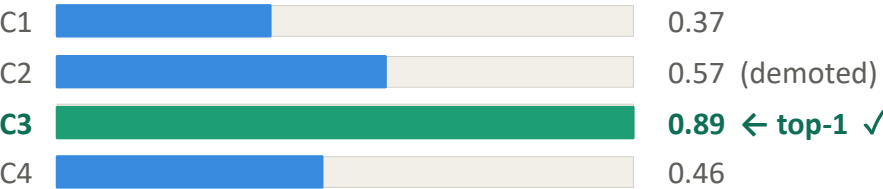
MCompassRAG

Retrieves C3 ✓

Topic signals selected by metadata selector:



MLP relevance score (topic-enriched query + chunk representations):



Gold evidence (chars 232,356 – 233,140): "Superior Proposal" means a bona fide written Acquisition Proposal for at least a majority of the outstanding Shares or at least a majority of the consolidated assets of the Company ... that the Company Board determines in good faith, after consultation with its financial advisor and outside legal counsel, and taking into account all relevant terms and conditions ... is more favorable to the Company's stockholders from a financial point of view than the Merger ...

Key T-A terms: "more favorable," "financial advisor," "outside legal counsel," "board determines in good faith" | Key T-B terms: "majority of outstanding Shares," "bona fide"